

Session 1: Structuring Your Trading Process

Overview

- How I Approach Day Trading: My daily preparation & mindset.
- Trade Selection Criteria: What makes a trade worth taking?
- Filtering the Noise: Avoiding distractions & focusing on actionable setups.
- Market Conditions & Adaptability: When to trade aggressively vs. when to sit out.

How I Approach the Trading Day

"To know where you are going, you need to know where you are coming from."

What am I doing every day?

- Taking on risks that others avoid
- Providing market liquidity
- Accepting attractive prices to facilitate price discovery and provide liquidity for passive customers- Aiding price discovery

Choosing a Timeframe to Trade

- Know what your job is, or what you are trying to do.
- Match your personality. I get bored, I trade out of good ideas because I stay focused on the market and enjoy trading events, headlines, etc.
- Worst thing is mixing the time horizon. Can't have a long term thesis with an intraday stop. Structuring trades matters, and being correct on direction doesn't matter that much.
- Too much trading? Uncertain gains, guaranteed losses (costs)
- 1 minute to 1 month. Higher frequency will mean more variance control and validation of edge as well.

Morning Concerns

What was the prior day's trading like, and the overnight session?

What are we coming off of the last few days?

Are we near any key levels, whether derived by market structure, or volume and activity?

Where are we trading with respect to daily and weekly value?

Is there anything that stands out positioning wise as a possible extreme, is this positioning in the money still?

What is the current narrative and sentiment?

Is there anything we are coming off of macro related, or moving into?

What is the options and futures market saying?

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Filtering Opportunities & Creating Alerts

- Creating alerts
- Using norms / Using Z score
- Breaking news combined with technicals

Alerts and filters are about preparation and prioritization - two pillars of consistent trading.

Alerts: Your Eyes When You're Not Watching

1. You can't watch everything.

There are too many products, too many levels, too many moments. Alerts let you focus elsewhere until something actually worth your attention happens.

2. Alerts reduce screen fatigue.

Constantly staring at a screen waiting for something to happen is mentally draining. Smart alerts allow you to stay sharp when it's time to act.

3. Alerts enforce discipline.

Rather than chasing random moves or getting lured by noise, you can wait for your criteria - a key level, volume spike, VWAP reclaim, etc. It becomes a mechanical trigger, not an emotional one.

4. They help with execution.

An alert at a prior high with a big volume surge gives you a reason to pause and assess - maybe to enter, maybe to exit. But at least it's framed by a condition you pre-defined.

Filters: Cut Through the Noise

1. Filters help you stay focused.

Instead of watching 30 charts, you can narrow down to the 3-5 that meet your exact setups or volatility/volume profiles for the day.

2. Identify high-probability setups.

Filter for relative volume, strong opening range breaks, or momentum bursts. You're screening with intention.

3. Data = edge.

Use stat-based filters (e.g., "top 5% intraday range expansion with >2x average volume") to spot setups that have edge.

4. Precursor to automation.

Filtering sharpens strategy and can evolve into code-based systems.

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Types of Alerts

These should be tied to decision points, not random price moves:

1. Key Level Alerts

- Prior day high/low
- Opening range breakout (e.g., 5m ORH/ORL)
- Pre-market high/low- VWAP touch or reclaim

Example:

"Alert me when price crosses above yesterday's high with 1.5x average volume."

2. Volume-Based Alerts

- Unusual relative volume (e.g., >2x average)
- Sudden burst in 1-minute volume- Big delta spike (for orderflow traders)

Example:

"Alert me if 5-minute volume exceeds last 10 bars average by 2x."

3. Momentum/Volatility Alerts

- Break of ATR band
- Price moving X% in Y minutes
- RSI or other momentum indicators crossing extreme levels

Example:

"Alert if price moves >1.5% in 10 minutes."

4. Liquidity/Order Book Triggers

- Large bid/ask pulled or stacked
- Sweep into resting liquidity
- Imbalance > X% on DOM

Example:

"Alert if bid stack disappears under key support."

Using Norms: Z-Score & ATR

Day traders can use Z-score to identify mean reversion opportunities, detect anomalies, and assess volatility.

Mean Reversion Trading:

- High Z-score (+2 or higher): Overbought, possible short.
- Low Z-score (-2 or lower): Oversold, possible long.

Example: SPY's 5-minute Z-score = +2.5 = excessive move up -> potential reversal.

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Detecting Breakout Confirmation vs. False Moves:

- Moderate Z-score = normal move
- Z-score above +2 or below -2 = high-probability breakout or overextension

ATR is also useful:

Use ATR as a 1-day lookback for immediate context on relative size of moves.

2x ATR on 1h timeframe = useful alert.